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> "A highlight of the budget is the focus on increasing capex—a sharp increase of 35 per cent and including states in the revival strategy is certainly the way to go"
>
> – N.R. BHANUMURTHY

DHARMAKIRTI JOSHI: The expectation, implicit in the budgetary proposals, is that more employment opportunities will be created by lifting growth potential. This can only happen gradually and is contingent on successfully driving the investment cycle. In the context, expansion and extension of the Emergency Credit Line Guarantee Scheme (ECLGS) scheme for micro, small and medium enterprises (MSMEs), which are labour intensive, provided indirect support to employment.

Increased allocation for other labour-intensive schemes such as the PM Awas Yojana (PMAY) and PM Gram Sadak Yojana (PMGSY) will also help create assets and employment. But these will only be a mild push to employment generation in the near term.

The urban poor will have to wait for revival and broad-basing of growth to lift their boat, as there is no scheme equivalent to the ones in rural areas to provide a buffer.

Q ▸ Public investment apart, will the budget help kickstart private investment?

SUBHASH CHANDRA GARG: Private investment in manufacturing and infrastructure will be kickstarted when the government privatises inefficient public sector units or clears policy cobwebs (like it has done in telecom) or when it provides viability gap funding or monetises public assets. There were no such new announcements.

N.R. BHANUMURTHY: Private investments are determined by various factors apart from public investments, like expected demand, interest rates and other transaction costs. External demand is already at an elevated level while the revival in domestic demand could take a while. Interest rates are largely driven by inflation. While there are upward pressures on interest rates due to open-economy issues, at least the budget proposals do not appear to be inflationary. It may not crowd out private investments. Proposals to reduce the customs duties on a few items, too, should help encourage private investments, although we expected some more reduction in the tariff lines. But, most importantly, the proposals of PM GatiShakti are going to bring down the logistics costs and, thereby, overall cost of doing business, and make domestic firms more competitive. Other proposals, like extension of ECLGS to MSMEs, of PLI scheme, tax incentives for SEZs and new manufacturing firms, etc., should also help revive private investments.

ADITI NAYAR: An early kickoff of the public spending programme, including by states, can help generate meaningful employment and boost consumption. This will hasten capacity expansion by the private sector, which is otherwise expected to broad-base only by the end of this calendar year.

DHARMAKIRTI JOSHI: The budget's focus is on stoking growth via infrastructure-focused investments. Capital expenditure by the Centre has been budgeted to rise 35.4 per cent over fiscal 2022RE. Total capex growth (budgetary capex plus revenue grants for capital creation and capex by central public sector enterprises), however, is projected to slow to 14.5 per cent.

The government's current focus on capex is important as the private investment cycle is yet to revive. Large private corporates have been deleveraging and are well-placed to undertake investments, but are being cautious due to the Covid-induced uncertainty, besides low-capacity utilisation and overinvestment in previous boom cycles.

Public investments in infrastructure have a higher multiplier effect on the economy and are known to crowd in private investments. Additionally, private investment is expected to benefit from the production-linked incentive (PLI) scheme, which has the potential to generate Rs 2.5-3.0 lakh crore in capex across 14 sub-schemes between fiscals 2023 and 2025.

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